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MCFM
Financial Reporting & Analysis
Sessions 2

Lecture Materials
FALL 2026

HRA

Financial Reporting & Analysis

(Session 2)

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Material 5: (Page 48) — **Reading #3:** Prof. Johnson, "***Accounts and Notes Receivable – Accounting 101",*** Cerritos College (CA), No date

Material 6: — **Reading #4:** Grant Thornton, "***Navigating the changes to International Financial Reporting Standards",*** Grant Thornton, 2026. (Posted separately on K2)

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Session 2

Selected Accounting Issues : Current Assets

FALL 2026

HRA

1

Session 2 Outline

1. Review the requirements of IFRS 13 on “Fair Value Measurement”,
2. Examine the impact of inventory management in the financial statements,
3. Discuss how accounts receivable are reported on, the uncollectible accounts estimated in the financial statements.

2

Definition of an Asset

- Assets have been defined as follows: (cf. Conceptual Framework 2018):
  - An asset is a **present economic resource** **controlled** by the entity as a result of past events. An economic resource is a right that has the potential to produce **economic benefits.**
- Assets are divided in current assets **(Session 2)** and non-current assets (**Session 3**)
- Non-current assets include assets "**controlled**" but not necessarily owned.

3

Definition of an Asset (2)

- An asset is a **present economic resource** controlled by the entity as a result of past events.
- An economic resource is **a right** that has the potential to produce economic benefits……
- **Many rights are established by contract, legislation or similar means**. For example, an entity might obtain rights from owning or leasing a physical object, from owning a debt instrument or an equity instrument, or from owning a registered patent.

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Part 1

Review: IFRS 13 "Fair Value Measurement"

5

Fair Value Measurement – IFRS 13

- The IFRS explains how to measure fair value for financial reporting.
- Some IFRSs require or permit entities to measure or disclose the fair value of assets, liabilities or their own equity instruments.
- Fair value is a market-based measurement, not an entity-specific measurement.

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Review: IFRS 13 - Fair Value Measurement

Whether or not market information from **observable market transactions is available:**

- The objective of FV measurement under IFRS 13 is to **estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants** under current market conditions,
- i.e. Fair value is an **exit price OR value** from the standpoint of a market participant holding the asset or owing the liability.

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Measurement of Elements of Financial Statements

- (a) Historical Cost
  (b) Current Cost
  (c) Realizable Value (Settlement)
  (d) Present Value

8

IFRS 13 'Fair Value Measurement' - **Exceptions**

IFRS 13 applies, with the following exceptions:

1. Share-based payment transactions within the scope of IFRS 2 'Share-based payments' ;
2. Leasing transactions within the scope of **IFRS 16 'Leases'**;
3. Measurements that have some similarities to FV but are not FV, such as **net realizable value In IAS 2 'Inventories' or value in use in IAS 36 'Impairment of Assets'.**

In the first two cases, the relevant standards both state, surely bizarrely, that the earlier 'exchange price' definition continues to apply.

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Reminder: Major Principles of IFRSs

Type of asset / liability	Initial Measurement	Subsequent measurement
Inventories IAS 2	Cost	Lower of cost and net realizable value
Property, Plant and Equipment - IAS 16	Cost	Cost model or revaluation model
Investment property - IAS 40	Cost	Fair value model or cost model
Intangible assets - IAS 38	Cost	Cost model or revaluation model
Exploration and Evaluation of mineral assets - IFRS 6	Cost	Cost model or revaluation model
Non-monetary Government grants - IAS 20	Fair Value or Nominal Value	Fair Value or Nominal Value
Non-current assets held for sale & Disposal groups - IFRS 5	lower of carrying value and fair value less costs to sell	lower of carrying value and fair value less costs to sell
Biological Assets – IAS 41	Fair value	Fair value less costs to sell

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Reminder: Measurement of Financial Assets

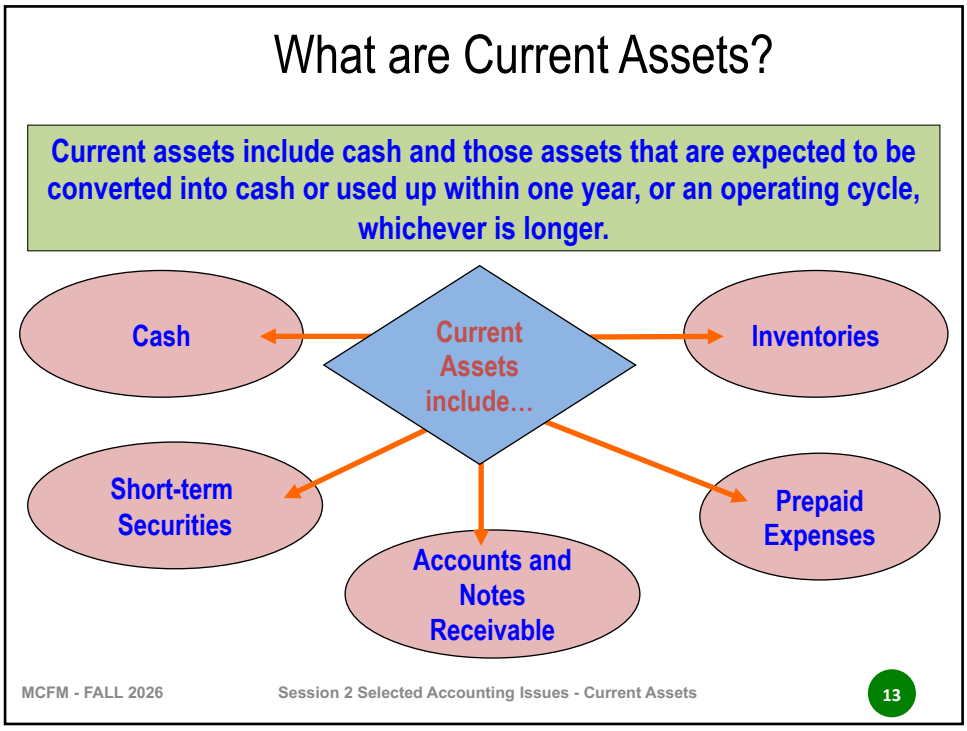
Nature of Financial Assets	Initial recognition	Subsequent measurement
Held for trading	At fair value	At fair value (through profit or loss)
Available for sale	At fair value plus directly attributable transaction costs	At fair value (through equity)
Held to maturity	At fair value plus directly attributable transaction costs	At amortized cost
Loans and Receivables	At fair value plus directly attributable transaction costs	At amortized cost

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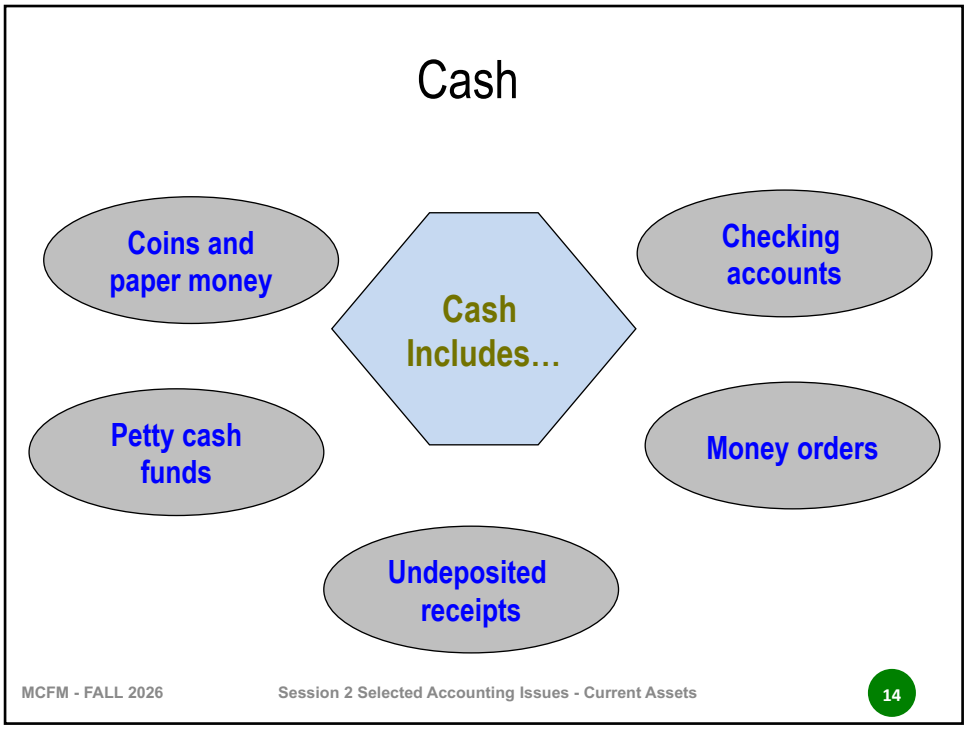
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Part 2
General Presentation of Current Assets

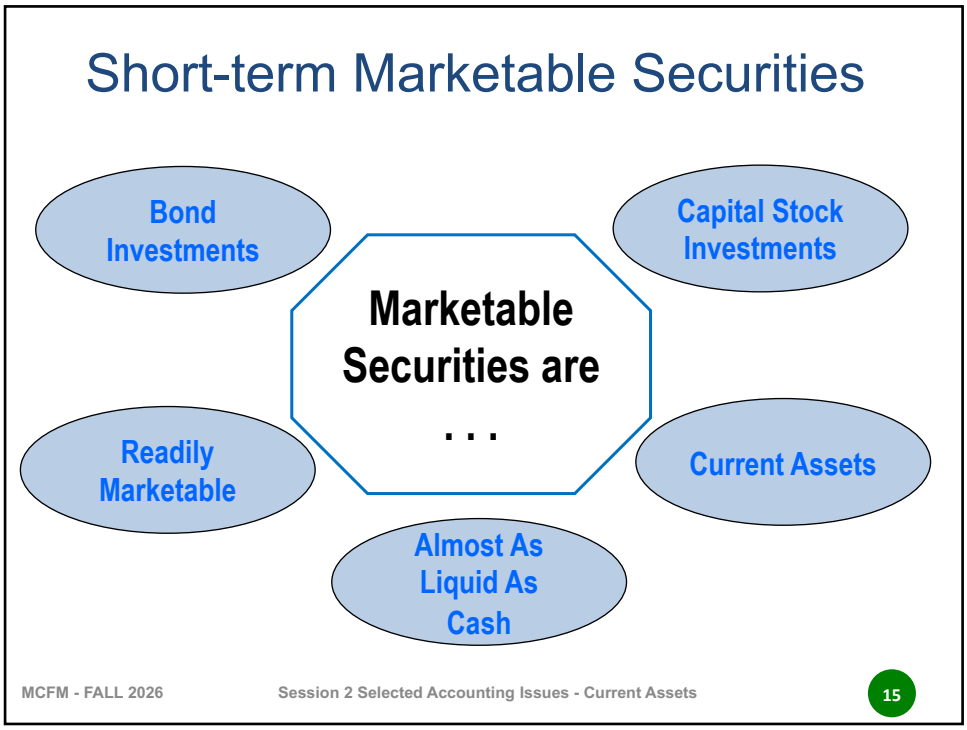
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What are Current Assets?
Current assets include cash and those assets that are expected to be converted into cash or used up within one year, or an operating cycle, whichever is longer.
Cash
Current Assets include…
Inventories
Short-term Securities
Prepaid Expenses
Accounts and Notes Receivable
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Session 2 Selected Accounting Issues - Current Assets
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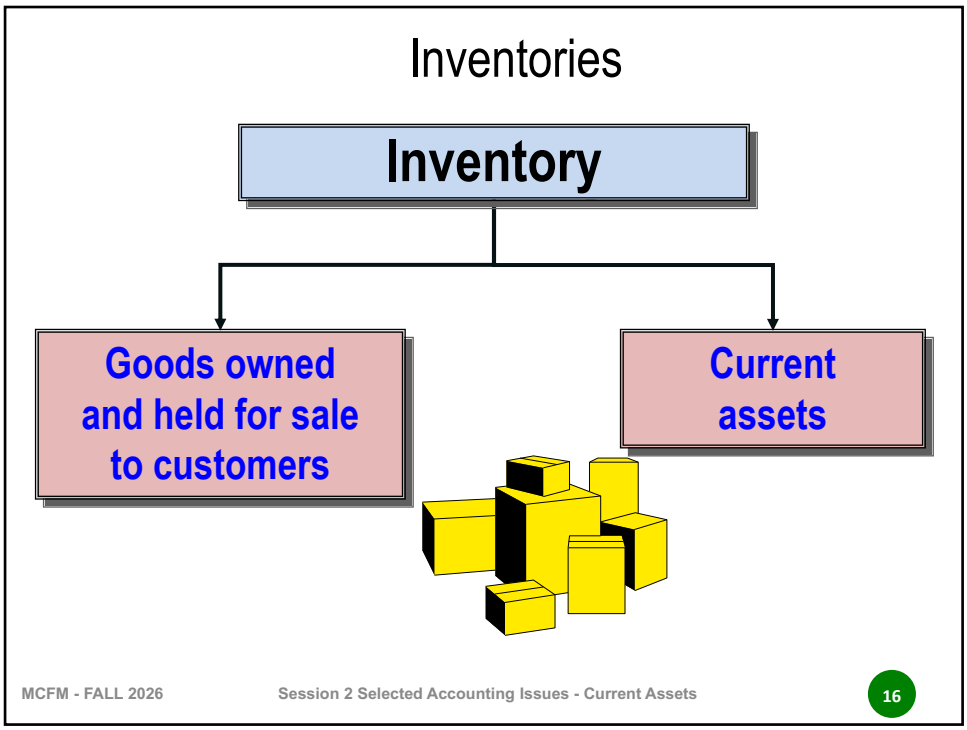
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Cash
Coins and paper money
Cash Includes…
Checking accounts
Petty cash funds
Money orders
Undeposited receipts
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Session 2 Selected Accounting Issues - Current Assets
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Short-term Marketable Securities
Bond Investments
Capital Stock Investments
Marketable Securities are . . .
Readily Marketable
Current Assets
Almost As Liquid As Cash
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Inventories
Inventory
Goods owned and held for sale to customers
Current assets
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Inventory Defined

IAS 2 *Inventories* defines inventories as assets:

- held for sale in the ordinary course of business;
- in the process of production for such sale;
- in the form of materials or supplies to be consumed in the production process or in the rendering of services.

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Inventory Defined (Cont'd)

The valuation of inventory involves:

- the establishment of physical existence and ownership;
- the determination of unit costs; cost includes all costs of purchase or manufacture to bring inventory to its present location and condition
- the calculation of provisions to reduce cost to net realizable value, if necessary. Under IAS 2, **valuation is the lower of cost or net realisable value**

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Measurement Bases of Current Assets: Inventory

U.S. GAAP	IFRS
• Lower of cost or market (LCM): – Market defined as replacement cost with a floor (Net realizable value, or NRV, less normal profit margin) and a ceiling (NRV). – NRV defined as estimated selling price less estimated costs of completion and sale.	• Lower of cost or net realizable value (LCNRV): – **NRV defined as estimated selling price less estimated costs of completion and sale.**
• Reversals of prior write-downs are NOT allowed.	• Reversals of prior write-downs CAN be made and recognized in income.
• **Permits last in, first out (LIFO).**	• **Does not permit LIFO**.

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Accounts or Trade Receivable

- Amounts due to a business from its customers or other entities expected to be collected in cash
- Frequently classified as
  - **Accounts receivable** – amounts owed by customers due to the sale of goods and services
  - **Notes receivable** – formal credit instrument (written promise to pay)
  - **Other receivables** – interest receivable, loans and advances to employees, recoverable sales tax, income tax receivable

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Accounts or Trade Receivable

- A receivable is recorded when service is provided on account or at **point of sale** of merchandise **on account** **(similarly, on credit)**
- A receivable is reduced when cash is collected, a sales discount is taken, or the merchandise is returned by the customer

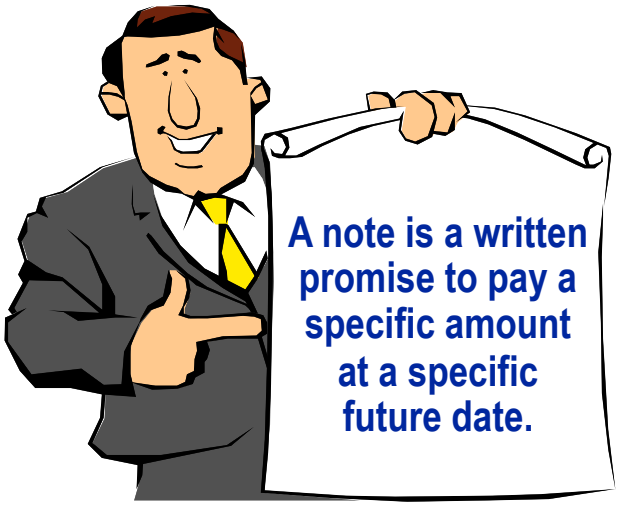
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Accounts or Trade Receivable (2)

- **Trade receivables:** Amounts owed to a company by its customers for products and services already delivered.
  - Also referred to as **accounts receivable**.
  - Typically reported at **Net Realizable Value**, an approximation of fair value, based on estimates of collectability.
- Aspects of accounts receivable often relevant to an analyst:
  - overall level of accounts receivable relative to sales,
  - allowance for **doubtful accounts**, and
  - concentration of credit risk.

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Notes Receivable



Notes typically include an interest charge for use of the money during the time period of the note.

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Allowance for Doubtful Accounts or Bad Debts

Accounts receivable
Less: Allowance for bad debts
Net realizable value of accounts receivable

The net realizable value is the amount of accounts receivable that the business expects to collect.

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Part 3

Recognition for & Measurement of Inventory

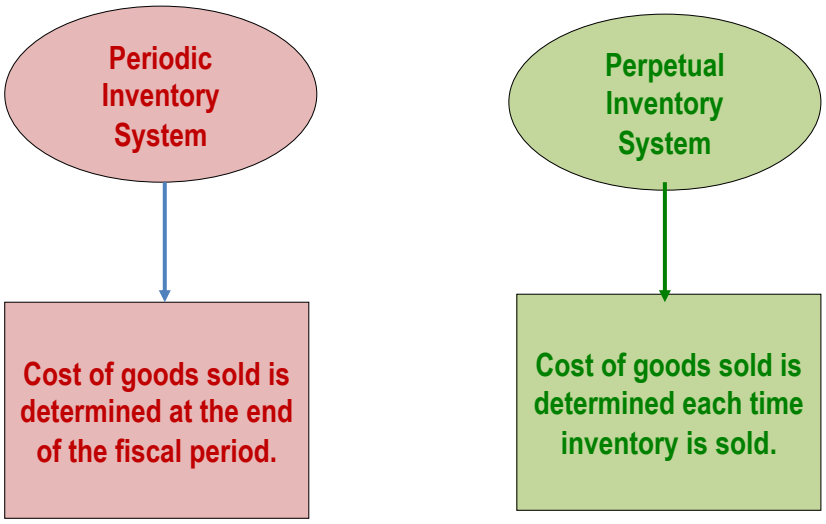
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Inventory Systems

- Each company needs a system to record the physical and monetary movements in the inventory. A company needs to keep track of the beginning inventory, the purchases, the goods sold and the closing inventory.
- **Two inventory recording systems** exist:
  - the periodic inventory system
  - the perpetual inventory system

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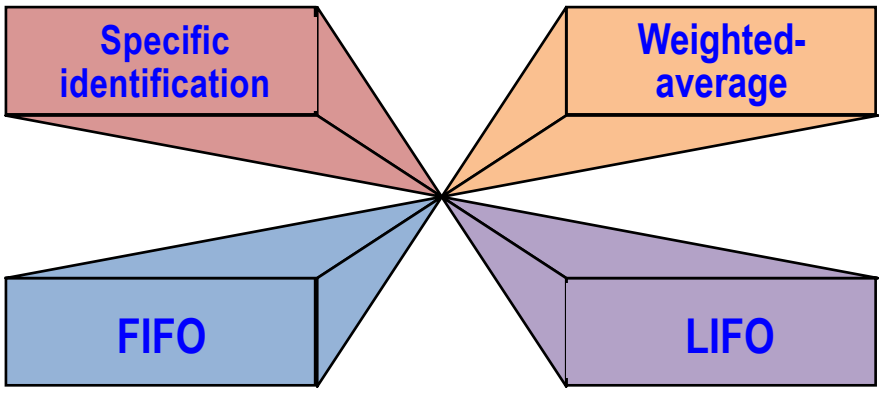
Inventory Accounting System Alternatives



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Inventory Costing Methods

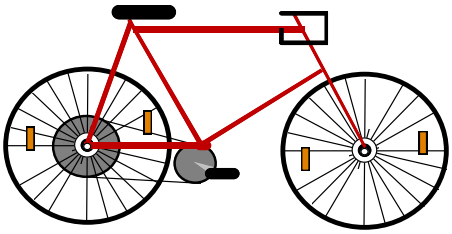
We use one of these inventory valuation methods to determine cost of inventory sold.



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Specific Identification

When a unit is sold, the specific cost of the unit sold is added to cost of goods sold.



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Weighted-Average Cost

Calculate the average cost of the items in beginning inventory plus purchases made during the year.



Cost of Goods Available for Sale During the Year ÷ Units Available for Sale During the Year

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First-In, First-Out (FIFO)

Oldest Costs → Costs of Goods Sold

Recent Costs → Ending Inventory

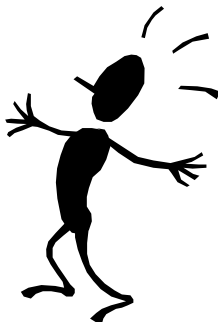


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Last-In, First-Out Method (LIFO)

Recent Costs → Costs of Goods Sold

Oldest Costs → Ending Inventory



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Inventory Net Realisable Value (NRV)

- Prudence requires using **Lower of Cost and NRV**, because of:
  - Permanent fall in market price,
  - Excessively priced stock,
  - High stock levels and liquidity problems,
  - Deterioration,
  - Obsolescence,
  - Marketing strategy to penetrate a market.

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Net realisable value (NRV) (Cont'd)

- Numerical example

Item	*Cost (£)*	*Net realisable value (£)*	*Inventory value (£)*
1 No. 876	7,000	9,000	7,000
2 No. 997	12,000	12,500	12,000
3 No. 1822	8,000	4,000	4,000
4 No. 2076	14,000	8,000	8,000
5 No. 4732	27,000	33,000	27,000
	(a) 68,000	(b) 66,500	(c) 58,000

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Part 4

Recognition for & Estimation of Accounts Receivable

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Types of Accounts Receivable

Amounts due from individuals and other companies that are expected to be collected in cash.

Accounts Receivable	Notes Receivable	Other Receivables
Amounts owed by customers that result from the sale of goods and services.	Written promise (formal instrument) for amount to be received. Also called trade receivables.	Non-trade receivables such as interest, loans to officers, advances to employees, and income taxes refundable.

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Revenue Recognition & Accounts Receivable

- Service organization records a receivable when it performs service on account.
- Merchandiser records accounts receivable at the point of sale of merchandise on account.
- Seller may offer a discount to encourage early payment.
- Buyer might return goods found to be unacceptable.

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Credit Policies

To increase the likelihood of selling to customers who will pay on time, companies develop control procedures and maintain a credit department

The credit department:

- ✓ Examines the financial resources and debts of the credit applicant,
- ✓ Asks for personal references,
- ✓ Gets credit rating from credit bureaus,
- ✓ Determines the extent to which the company can grant credit, if any.

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Valuing Accounts Receivables (1/2)

- **How to report Accounts Receivable?**
  - Reported as an asset on the statement of financial position. (Current Assets)
  - Reported at the amount the company thinks they will be able to collect.
- **Uncollectible Accounts Receivable**
  - Sales on account raise the possibility of accounts not being collected.
  - Valuation can be difficult because an unknown amount of receivables will become uncollectible

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Valuing Accounts Receivables (2/2)

Methods of Accounting for Uncollectible Accounts

Direct Write-Off

Theoretically undesirable:

- ✓ no matching.
- ✓ receivable not stated at net realizable value.
- ✓ **not acceptable for financial reporting.**

Allowance Method

Losses are estimated:

- ✓ better matching.
- ✓ receivable stated at net realizable value. **required by IFRS.**

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Allowance Method

- This method estimates the uncollectible accounts at the end of each period
- The amount estimated is shown in the **Allowance for Doubtful Accounts**
  - **A contra asset account** that is shown below Accounts Receivable and netted with Accounts Receivable to determine **carrying amount**
- Note that the **allowance is an estimate** – it does not show specific customer accounts

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Estimating the Allowance

- Most companies use the percentage of receivables basis to determine the allowance
  - Estimate what percentage of receivables **are likely to** be uncollectible
  - Apply this percentage to total receivables, or
  - Apply this percentage to receivables classified according to the length of time they have been outstanding (called **aging of accounts receivable method**)

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Account for Bad Debts

- Some accounts receivable become uncollectible
- Losses from these uncollectible accounts are debited to an account called **Bad Debts Expense**
- Bad debts expense is recognized in the same period that the related sales revenue is generated

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Measuring and Recording Estimated Uncollectible Accounts

The balance in the Allowance for Doubtful Accounts is deducted from Accounts Receivable in the current assets section of the statement of financial position **(loss of 10,000$ recognized at the end of year)**:

Dec. 31	Bad Debts Expense	10,000	
	Allowance for Doubtful Accounts		10,000
	(To record estimate of uncollectible accounts)		

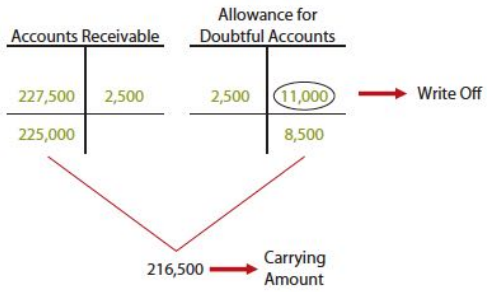
Accounts receivable	$200,000
Less: Allowance for doubtful accounts	11,000
Carrying amount	$189,000

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Recording the Write-Off of an Uncollectible Account

- The vice president of finance authorizes a **write-off of $2,500** owed by T. Ebbet:

Mar. 1	Allowance for Doubtful Accounts	2,500	
	Accounts Receivable		2,500
	(Write off of T. Ebbet account)		



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Recording the Recovery of an Uncollectible Account

Record in two separate entries:

	(1)		
July 1	Accounts Receivable	2,500	
	Allowance for Doubtful Accounts		2,500
	(To reverse write off of T. Ebbet account)		
	(2)		
July 1	Cash	2,500	
	Accounts Receivable		2,500
	(To record collection from T. Ebbet)		

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Account for Notes Receivable

- Stronger legal claim to assets than accounts receivable; written promise (**promissory note**) to repay (**≈ similar characteristics of a loan, guaranteed or not by a bank**)
- **A credit instrument that normally**
  - Requires the payment of interest
  - Extends for time periods greater than 30 days
- Often accepted from
  - Customers who need to extend payment of an account receivable
  - High-risk customers

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Formula for Calculating Interest

- The basic formula for calculating interest on an **interest-bearing** note is

Principal Amount of the Note	X	Annual Interest Rate	X	Time in Terms of One Year	=	Interest

- The interest rate specified on the note is an **annual rate** of interest

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Derecognizing Notes Receivable

- Honoured (Collected)
  - Paid in full at maturity date
  - Collection recorded
- Dishonoured **(Not paid on time)**
  - Not paid at maturity date; note no longer negotiable
  - Balance transferred to Accounts Receivable if eventual collection expected
  - Balance written off to Bad Debts Expense if eventual collection not expected

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Any Questions?

(Session 2)



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Session 2

Exercises Material
FALL 2026

Financial Reporting & Analysis

Accounting for Current Assets

I – Inventory Management:

5.1. The inventory records of The Kissner's Consulting Group reflected the following information for the year:

Date	*Transaction*	*Number of units*	*Unit Cost*
1/1	Beginning Inventory.....	12	$ 40
2/12	Purchase.....	8	45
4/15	Sale.....	15	-
5/17	Purchase.....	10	46
5/19	Sale.....	5	-
9/28	Purchase.....	15	50
11/2	Sale.....	5	-

Required:

Using **the *periodic* inventory system**, determine the dollar amounts to be assigned to Ending Inventory and Cost of Goods Sold under each of the following methods:

	Ending Inventory	*Cost of Goods Sold*
Weighted-Average	$ _____	_____
FIFO.....	_____	_____
LIFO.....	_____	_____

BE 6-6 – Perpetual inventory system

Battery Limited uses **a perpetual inventory system**. The inventory records show the following data for its first month of operations:

Dates	Transactions	Units	Unit Cost (€)	Total Cost (€)	Ending in Units
02/08	Purchases	250	70	17,500	
03/08	Purchases	500	100	50,000	
10/08	Sales	(300)			
15/08	Purchases	900	120	108,000	
25/08	Sales	(325)			

Required: Calculate the cost of goods sold and ending inventory using:

1. FIFO,
2. Average cost (round the numbers)

BE 6-10 Cost and Net Realizable Value

Tech-IT various inventory categories was gathered at the end of December:

Inventory Categories	Cost (€)	NRV (€)
Desktops	347,000	326,000
Tablets and readers	168,700	224,000
Laptops	221,020	285,000
Accessories & parts	97,400	94,300

Required:

1. Calculate the lower of cost and net realizable value for each inventory category within Tech-IT's inventory,
2. Adjust Tech-IT's inventory value to the lower of cost or net realizable value (LCNRV) at the end of December

BE 6-12 – Inventory Turnover

The following information is available for Michelin Tire Corporation (in millions of €)

Accounting Items	2025	2024	2023
Inventory	1,765.5	1,623.8	1,481.0
Net sales	12,279.6	12,462.9	11,785.6
Cost of goods sold	7,747.1	8,033.2	7,678.0

Required:

1. Calculate the inventory turnover and days in inventory ratios for 2025 and 2024
2. Did Michelin Tire's inventory management improve or deteriorate in 2025?

II. Current Assets – Accounts receivable

5.3. Dr. Branson shows the following accounts receivable balances by age category:

Age of Accounts	***Balance***
0-30 days……	$120,000
31-90 days……..	45,000
91-120 days……	15,000
More than 120 days……	3,000

The Allowance for Bad Debts now shows a $3,000 credit balance. Dr. Branson's accountant has studied his collection history and has suggested the following percentages for computing the estimates of uncollectible accounts:

Age of Accounts	***Estimate of Uncollectible Accounts***
0-30 days……	1 percent
31-90 days …….....	3 percent
91-120 days…….....	10 percent
More than 120……	40 percent

Required:

Record the adjusting journal entry that will carry out the accountant's suggestion and the entry required to write off a $150 account owed by Mr. Beckett, which is now considered to be uncollectible.

Journal entry:

ACCOUNT TITLES AND EXPLANATION	DEBIT	CREDIT

BE 8-5 Calafate Ltd aging schedule

At June 30, Calafate Ltd prepared the following aging schedule:

Number of Days Outstanding	Accounts Receivable	Estimated Percentage Uncollectible	Total Estimated Uncollectible Accounts
0–45 days	€726,000	2%	
46–90 days	248,000	5%	
Over 90 days	112,000	16%	
Total	€1,086,000		

Required:

1. Estimate the adjustment for bad debt expenses at the end of June 30 assuming that the company's allowance for doubtful accounts had a credit balance of €13,175.00
2. Estimate the adjustment for bad debt expenses at the end of June 30 assuming that the company's allowance for doubtful accounts had a credit balance of €8,920.00

BE 8-6 Canton Imports aging schedule

Canton Imports prepare the aging balance below at the end of December.

Number of Days Outstanding	Accounts Receivable	Estimated Percentage Uncollectible	Total Estimated Uncollected Accounts
0-30 days	€368,000	1%	
31-60 days	120,000	4%	
61-90 days	72,000	10%	
Over 90 days	40,000	20%	
Total	€600,000		

Required:

1. Complete the aging schedule
2. Estimate the adjustment for bad debt expenses at the end of December assuming that the company's allowance for doubtful accounts had a credit balance of €3,600.00

BE 8-7 Searcy Corp write off

At the end of 2017, Searcy Corp has accounts receivable of €480,000 and allowance for doubtful accounts of €29,000. On January 24, 2018, Searcy learned that its €11,000 receivable from Hutley Inc. is not collectible. Management authorizes a write-off

Required:

1. Determine how to adjust the accounts receivable in the balance sheet,
2. What is the carrying amount of the accounts receivable, a) before the write-off and, b) after the write-off

BE 8-15 Canfor Corporation management of receivables

Canfor Corporation reported the following selected information (in millions of €) for the three years ended December 31, 2025, 2024 and 2023.

Accounting Items	**2025**	**2024**	**2023**
Trade Receivables (gross)	196.3	95.0	115.3
Allowance for doubtful accounts	4.5	3.7	2.7
Net sales	3,925.3	3,347.6	3,194.9

Required:

1. Calculate Canfor's receivables turnover and average collection period for 2025 and 2024,
2. Indicate whether each of the receivables turnover and average collection period is better or worse in 2025

Opinion **The FT View**

Financial reporting must get back to the basics

Companies should support moves towards greater transparency

THE EDITORIAL BOARD



WeWork introduced prospective investors to a new version of the most common metric for cash earnings © Reuters

The editorial board 6 HOURS AGO

Profit or loss? Measuring a company's performance should be relatively simple. Generally accepted accounting principles, or GAAP, were the original standard guidelines for financial accounting. Yet more and more companies are resorting to non-GAAP metrics to present what can be a flattering picture of their performance.

All too often investors and analysts are forced to sort through metrics from an alternative reality, where earnings or profits are "adjusted", "normalised" or "underlying". The justification is usually that these figures give a better picture of the company's real performance than statutory results. Sceptics say they are simply massaged to shed the best possible light. It is telling that management's remuneration is often tied to that "adjusted" performance.

The truth is accounting is rarely black and white. Companies have the right to present their earnings in the most attractive form, and accounting standards, the rules under which the game is played, give them the freedom to do so. There is also often valuable information to be gleaned from which measures executives choose. It is time for a return to a more objective measure. In 1996, around 60 per cent of S&P 500 companies reported at least one non-GAAP earnings-per-share

figure. According to Audit Analytics, a US data analyst, by 1997 more than 97 per cent of S&P 500 companies used at least one non-GAAP metric in their financial statements.

The need for greater transparency comes amid a recent rush by technology start-ups to tap the financial markets — and a corresponding rise in more exotic metrics. WeWork, the office-rental company forced to pull its listing in September, introduced prospective investors to a new version of the most common metric for cash earnings, or earnings before interest, tax, depreciation and amortisation. An early prospectus for a bond offering mentioned "community adjusted" ebitda — earnings before taking into account extra costs including marketing. An analysis by this newspaper of Facebook's user base highlighted the lack of transparency around fake accounts.

In the UK, recent corporate failures, from outsourcer Carillion to travel group Thomas Cook, have raised questions about the accuracy of their accounts. One of the challenges has been that there is no standard definition of operating profit under GAAP or the International Financial Reporting Standards. Many companies report an operating profit measure but it is up to them to decide how to define it, making comparisons tricky. An analysis of a hundred companies in different countries by the International Accounting Standards Board (IASB), the industry rulemaker for much of the world outside of the US, revealed nine different variations of operating profit.

In the US, the Securities and Exchange Commission has escalated its scrutiny of non-GAAP measures. The IASB is already on the case. It wants to bring more structure to a company's profit and loss statement and standardise operating profits through a consistent measure. Companies will still be able to make adjustments but the end result, the IASB hopes, will be greater transparency. Draft proposals will be published soon. They would likely mean increased costs but these are a price worth paying.

Such attempts to standardise reporting metrics should be encouraged. Investors deserve clear and comparable information. At a time when real earnings appear to be slowing companies may lean to unearthing accounting gains to make up the difference. They should resist the urge to do so.

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Inventory Valuation Methods: Complete Guide to FIFO, LIFO, and Weighted Average

Inventory valuation methods anchor sound financial reporting and smarter operations. This concise guide unpacks FIFO, LIFO, Weighted Average, and Specific Identification, clarifying how each choice shapes COGS, taxes, cash flow, and lending ratios. Real-world examples, GAAP vs. IFRS rules, and barcode-driven automation tips equip e-commerce owners to safeguard margins, prevent stock surprises, and scale confidently.



Inventory Valuation Methods: Your Guide to Financial Precision

In the e-commerce world, the wrong **inventory valuation methods** can silently erode your business's financial health. Overlooking proper valuation doesn't just obscure your true gross margin—it can significantly distort tax liability as your brand grows.

Financial controllers often search for **inventory valuation methods accounting**, **what are inventory valuation methods**, or **gaap inventory valuation methods** when spreadsheets become unwieldy.

This guide compares the four primary approaches: FIFO, LIFO, Weighted Average, and Specific Identification. We'll examine real numbers, align with GAAP/IFRS requirements, and provide practical implementation through

On this page

1. Inventory Valuation Methods: Your Guide to Financial Precision
2. Why Inventory Valuation Drives Financial Clarity
3. GAAP vs IFRS: Rules, Restrictions, and Tax Realities
4. Snapshot of the Four Core Approaches
5. Numerical Comparison: One Purchase Scenario, Four Results

barcode controls and software integration.

Whether reassessing your current approach or establishing your first valuation system, find additional insights on our accounting and inventory software hub.

Why Inventory Valuation Drives Financial Clarity

Inventory valuation isn't just an accounting exercise—it's the foundation of your business's financial story. The methods you choose directly connect your ending inventory, cost of goods sold, and ultimately your profitability. When inventory valuation methods are properly explained, they reveal dramatically different cash-flow narratives for the same physical inventory.

Financial stakeholders depend on accurate inventory valuation for critical decisions:

- **Impact on gross margin planning**: Different methods can swing your margins by several percentage points, affecting pricing strategies and investor confidence
- **Tax timing benefits/drawbacks**: Strategic selection can legally defer tax obligations, improving short-term cash position
- **Cash-flow forecasting accuracy**: Consistent valuation provides predictable financial patterns that strengthen budgeting

Regulatory compliance adds another dimension. Companies must adhere to either **US GAAP inventory valuation methods** or **IFRS inventory valuation methods** depending on jurisdiction. These standards aren't bureaucratic hurdles but essential guardrails during lender reviews and IRS audits.

When evaluating what are the methods of inventory valuation, businesses should consider their industry, growth trajectory, and cash flow patterns. Each approach tells a different financial story with the same inventory data.

The methods of inventory valuation you select will ripple through your entire financial ecosystem, from cost of goods sold formula calculations to profitability analysis outcomes. For a comprehensive approach, accounting and inventory software provides the necessary structure.

GAAP vs IFRS: Rules, Restrictions, and Tax Realities

When managing inventory across borders or preparing for international expansion, understanding the differences between accounting frameworks becomes crucial.

Key Regulatory Differences

Under ASC 330 (GAAP), companies have more flexibility as inventory valuation methods GAAP permit all major costing approaches including FIFO, LIFO, and weighted average. In contrast, inventory valuation methods IFRS (specifically IAS 2) prohibit LIFO entirely, creating significant implications for global businesses.

For U.S. businesses, this regulatory divergence creates complications. Companies must maintain consistent application of their chosen methods – switching between gaap inventory valuation methods requires disclosure and justification. Similarly, ifrs inventory valuation methods demand consistent application across similar inventory categories.

Tax Implications and Documentation

The U.S. tax code contains a critical "conformity rule" – if you use LIFO for tax

6. Strategic Decision Framework for SMBs
7. Modern Implementation: Software, Landed Cost, and Integrations
8. Operational Controls That Safeguard Accuracy
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Ready to Take Control of Your Inventory?

Improve inventory, warehouse, and ecommerce operations today.

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purposes, you must also use it for financial reporting. This creates a LIFO reserve schedule that tracks the difference between fifo lifo inventory valuation methods.

To maintain compliance, companies should maintain:

- Detailed cost flow documentation
- Method justification workpapers
- Consistency validation records
- An inventory valuation methods pdf workbook outlining calculations

These records become important during cost of goods sold formula calculations and when determining carrying cost impacts.

For deeper understanding of LIFO's tax mechanics, refer to our LIFO method guide.

Snapshot of the Four Core Approaches

When managing inventory, businesses must choose a consistent valuation method that aligns with their operational needs. Let's examine the four fundamental **inventory valuation methods** that form the backbone of inventory accounting.

FIFO (First-In, First-Out)

FIFO assumes the oldest inventory items are sold first. This method typically reflects the actual flow of goods and provides a more current cost of inventory on the balance sheet. For detailed calculations, visit our FIFO method page.

LIFO (Last-In, First-Out)

LIFO assumes the newest items are sold first. While this offers tax advantages in inflationary environments, remember that IFRS disallows LIFO, creating challenges for international businesses.

Weighted Average

This method calculates the average cost of all similar items, creating a balanced approach between FIFO and LIFO. It smooths out price fluctuations and simplifies record-keeping. See our weighted average inventory method for examples.

Specific Identification

This approach tracks each inventory item individually by its actual purchase cost. It's ideal for businesses selling unique, high-value items with serial numbers or distinct characteristics.

Inventory Valuation Methods Comparison

- FIFO: Best matches physical flow; higher profits during inflation
- LIFO: US tax advantages; lower profits during inflation
- Weighted Average: Simplifies calculations; moderates profit volatility
- Specific Identification: Most accurate; ideal for serialized items

For deep formulas, see our individual pages; this guide provides essential understanding of **different inventory valuation methods** to help select appropriate **types of inventory valuation methods** for your business.

Numerical Comparison: One Purchase Scenario, Four Results

Let's examine how each inventory valuation method affects your bottom

line using the same inventory scenario.

A Real-World Example

Consider a retail business with these transactions:

- Starting inventory: 10 units at $10 each ($100 total)
- Purchase 1: 15 units at $12 each ($180 total)
- Purchase 2: 20 units at $15 each ($300 total)
- Purchase 3: 15 units at $18 each ($270 total)
- Sales: 40 units

Here's how each method impacts your numbers:

- **FIFO (First-In, First-Out)**
  - COGS: $10 × 10 + $12 × 15 + $15 × 15 = $505
  - Ending inventory: $15 × 5 + $18 × 15 = $345
  - Profit effect: Highest reported profit in rising costs

- **LIFO (Last-In, First-Out)**
  - COGS: $18 × 15 + $15 × 20 + $12 × 5 = $605
  - Ending inventory: $10 × 10 + $12 × 10 = $220
  - Profit effect: Lowest profit; better tax efficiency

- **Weighted Average**
  - Average cost per unit: $14.17
  - COGS: $14.17 × 40 = $566.80
  - Ending inventory: $14.17 × 20 = $283.40

These **inventory valuation methods examples** demonstrate why your choice matters. Different **methods of inventory valuation with examples** like these directly affect your reported profit and tax liability.

Need more detailed **inventory valuation methods with examples**? We're developing a downloadable worksheet (coming soon) to help you analyze your own inventory scenarios.

Strategic Decision Framework for SMBs

Choosing the right inventory valuation method is a strategic business decision with real-world implications for your bottom line. Small and medium businesses should consider these key factors:

- **Product turnover rate**: High-turnover products benefit from FIFO to match current costs, while stable products might work with any method
- **Economic climate**: During inflation, LIFO minimizes taxable income while FIFO better reflects actual inventory value
- **Sales channel mix**: Multichannel sellers face unique challenges—Amazon FBA businesses must factor in seasonal inventory spikes and long-term storage fees
- **Investor expectations**: External stakeholders often prefer FIFO for its transparent reflection of current values

Ecommerce businesses face distinct considerations. For Amazon sellers, FIFO might better account for rapid product turnover while managing FBA storage fees. Seasonal businesses must consider how valuation methods impact quarterly reporting during off-peak periods.

Financial controllers frequently ask: **what are the different methods of inventory valuation** that best align with specific business models? The **different methods of inventory valuation** each serve distinct purposes—FIFO for market representation, LIFO for tax advantages, and weighted average for simplicity.

Many businesses find themselves limited to the average cost method due to software constraints, particularly with entry-level systems.

Remember that changing **inventory valuation methods in accounting** requires careful planning. Always consult your CPA before switching, as the IRS has specific requirements for method changes.

Modern Implementation: Software, Landed Cost, and Integrations

Modern inventory valuation systems have evolved significantly, offering sophisticated functionality that extends well beyond basic calculations. Understanding these advancements is crucial for businesses seeking to optimize their inventory accounting practices.

Cost Layer Architecture

Advanced **inventory valuation methods accounting** systems employ two distinct approaches to cost tracking. Continuous Weighted Average engines update valuation in real-time with each transaction, providing immediate visibility into margin changes. In contrast, batch recalculation systems process updates at scheduled intervals, typically during off-hours.

The concept of "cost layers" is fundamental to modern valuation systems. Each inventory receipt creates a distinct layer with its own cost basis, quantity, and timestamp. These layers form the foundation for methods like FIFO and LIFO, with the system automatically selecting which layers to consume based on the chosen method.

Landed Cost Allocation

A significant advantage of modern systems is their ability to incorporate landed cost components into inventory valuation. These modules distribute additional costs across inventory items including:

- International freight charges
- Customs duties and tariffs
- Insurance premiums
- Handling fees and surcharges

Most importantly, these systems seamlessly integrate with popular accounting platforms like QuickBooks Online and Xero, ensuring financial data remains synchronized across the organization.

Automation Capabilities

Best-in-class accounting and inventory software delivers powerful automation that significantly reduces manual effort. These systems:

- Automatically create appropriate cost layers upon receipt
- Process retroactive cost adjustments across affected transactions
- Recalculate margins on historical sales when costs change

The sophistication of these **inventory valuation methods explained** in modern software has transformed what was once a labor-intensive accounting

process into a strategic business function, providing real-time insights into profitability and inventory turnover ratio.

Operational Controls That Safeguard Accuracy

Maintaining accurate inventory valuation requires robust operational controls that work hand-in-hand with your chosen costing method. Without these safeguards, even the most sophisticated accounting system can produce unreliable financial data.

Critical Control Mechanisms

- **3-Way Match**: This fundamental control matches purchase orders against receiving documents and supplier bills. When discrepancies occur, the system locks the variance, preventing incorrect costs from contaminating your inventory layers. This verification process ensures each transaction reflects actual costs.
- **Barcode-Scanned Transactions**: Implementing barcode scanning for all receiving operations and stock movements eliminates human error in data entry. This technology prevents mis-layering of inventory by accurately recording which items were received or moved and when—critical for preserving the integrity of FIFO, LIFO, and weighted average calculations.
- **Structured Cycle Counting**: Rather than disruptive annual counts, a scheduled cycle-count program using ABC classification (counting high-value items more frequently) provides continual inventory accuracy. Modern systems tie adjustments back to the proper cost method, ensuring corrections don't distort your inventory valuation methods.

These operational controls are essential safeguards that support fifo lifo inventory valuation methods integrity throughout your business operations. Without them, cost layers can become corrupted, leading to inaccurate financial reporting and potentially costly tax implications.

Well-implemented controls also reduce inventory shrinkage by identifying discrepancies early, before they compound into significant financial variances. The right combination of technology and process ensures your inventory valuation remains accurate, regardless of which costing method you've selected.

Compliance & Best-Practice Checklist

Maintaining compliance while implementing inventory valuation methods requires structured oversight. Follow these essential practices:

- **Document chosen method in accounting policy manual** – Create clear documentation stating which method your business follows and why, serving as your reference during audits.
- **Review Landed Cost allocation at least quarterly** – Regular reviews prevent cost distortions when import fees and shipping expenses aren't properly distributed across inventory items.
- **Reconcile subledger to GL monthly** – Compare detailed inventory records with general ledger balances and export your **inventory valuation methods pdf** report for auditors.
- **Monitor obsolescence and apply reserve** – Establish a systematic process for identifying slow-moving inventory without distorting **GAAP inventory valuation methods**.
- **Cue to revisit framework annually** – As your business grows, schedule reviews to determine if your current method still aligns with your business model and inventory turnover ratio.

These practices support compliance and create a foundation for accurate cost of goods sold formula calculations that directly impact profitability reporting.

How Finale Inventory Automates Precise Valuation for Multichannel Sellers

Why Finale Inventory Beats Spreadsheets for Accurate Costing

For multichannel e-commerce businesses, managing inventory valuation through manual spreadsheets creates significant financial risks. These time-consuming COGS rebuilds not only drain resources but often lead to costly errors when price changes or partial receipts break carefully constructed formulas.

Finale Inventory addresses these challenges with a real-time weighted-average costing engine that automatically recalculates after every transaction. This continuous recalculation ensures your inventory values remain accurate without the manual reconciliation that plagues spreadsheet-based systems.

> "I've been using Finale for about 3 years and with 2 different businesses of varying SKU complexity. They integrated seamlessly with Amazon, Shopify, and Ebay. The average cost features and customizable reporting make my life so much easier." – Verified Reviewer, Operator

The platform's landed-cost module captures all elements that contribute to true product cost—freight, duty, insurance, and brokerage fees. Businesses can allocate these costs using five different methods (value, quantity, weight, volume, or equal distribution), pushing fresh calculations directly to COGS. This capability is particularly valuable when comparing inventory valuation methods as it provides consistent data across all evaluation approaches.

Finale's three-way match workflow connects purchase orders, receiving documents, and supplier bills with automated tolerance alerts. This prevents cost surprises that would otherwise skew your inventory costing methods comparison and potentially lead to overpayment.

Maintaining Inventory Integrity Across Locations

Mobile barcode scanning capabilities transform how businesses handle inventory movements. Whether receiving new stock, transferring between warehouses, or conducting cycle counts, the barcode system maintains data integrity essential for accurate valuation—particularly important when evaluating different approaches to inventory management.

> "It has also given me peace of mind in terms of inventory levels and value." – Pat Bianchi, COO @ LOX Extensions

For businesses concerned about the impact on their accounting systems, Finale offers bi-directional synchronization with QuickBooks Online and Xero. Rather than flooding your general ledger with thousands of individual transactions, Finale posts consolidated journal entries that keep your accounting system clean while

providing the detail auditors need when reviewing inventory valuation practices.

The platform's finance dashboard provides critical visibility into channel-specific gross margins. This insight is essential for understanding how different cost of goods sold formula approaches affect profitability across your sales channels.

Cloud Architecture for Growing Businesses

As a cloud SaaS solution, Finale eliminates the need for on-premises servers or complex IT infrastructure—ideal for brands shipping between 500 and 100,000 orders monthly. This accessibility makes enterprise-grade inventory valuation available to growing businesses without the enterprise-level complexity or cost.

> “ "I just wanted to drop you a quick note to tell you how pleased Chocoley is with using Finale as our inventory management system. Having been on the Finale system for the past year, we have been able to easily integrate our website, Chocoley.com, Shipstation, QuickBooks and Amazon.com for a seamless and accurate management of our inventory across all marketing & sales channels." – Steve Leffer, CEO @ Chocoley Chocolate ”

For multichannel sellers navigating complex inventory valuation decisions, explore a tailored demo through the accounting and inventory software resource center to see how Finale can transform your financial operations with accurate, automated inventory valuation.

Conclusion

Choosing the right **inventory valuation method** profoundly impacts your financial statements, tax obligations, and cash flow management. Whether you select FIFO, LIFO, Weighted Average, or Specific Identification, your decision should align with your business goals, industry standards, and operational realities.

Before committing to a valuation policy, carefully consider the GAAP and IFRS requirements applicable to your business, analyze the numerical impact through side-by-side comparisons, and implement operational controls necessary for accuracy.

The complexity of inventory valuation diminishes significantly with robust systems. Finale Inventory's automated weighted average cost engine eliminates calculation errors, while its landed-cost tracking and barcode-driven workflows ensure your valuations remain audit-ready.

For businesses navigating multiple sales channels, automated valuation becomes critical as transaction volumes increase and inventory moves across locations, providing real-time visibility into your cost of goods sold formula and inventory turnover ratio.

Ready to strengthen your inventory accounting practices? Visit our accounting and inventory software hub to explore deeper insights.

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Frequently Asked Questions

What are the 5 inventory valuation methods?

The five primary inventory valuation methods are FIFO (First-In, First-Out),

LIFO (Last-In, First-Out), Weighted Average Cost, Specific Identification, and Retail Method. Each approach affects your cost of goods sold formula and ending inventory value differently. For multichannel businesses using cloud accounting software, Weighted Average Cost often provides the best balance of accuracy and implementation simplicity, especially when integrated with barcode inventory systems for real-time cost updates.

What are the 4 ways to value inventory?

The four core ways to value inventory are FIFO (First-In, First-Out), LIFO (Last-In, First-Out), Weighted Average Cost, and Specific Identification. Each method calculates cost of sales differently based on which inventory units are considered sold first. FIFO assumes oldest items sell first, LIFO assumes newest items sell first, Weighted Average blends all costs, and Specific Identification tracks each unit individually. Your choice impacts profitability reporting and tax obligations, making it a critical accounting decision.

What are the 5 methods of valuation?

The five methods of inventory valuation are FIFO, LIFO, Weighted Average Cost, Specific Identification, and Retail Method. FIFO and LIFO focus on the order items enter and leave inventory. Weighted Average creates a blended cost for identical items. Specific Identification tracks actual cost of each unique item. Retail Method estimates ending inventory by applying a cost-to-retail ratio. For e-commerce businesses, integrating your chosen method with accounting and inventory software ensures consistent application.

What is the GAAP inventory valuation method?

GAAP (Generally Accepted Accounting Principles) accepts multiple inventory valuation methods, including FIFO, LIFO, and Weighted Average Cost. US GAAP uniquely permits LIFO, which is prohibited under IFRS (International Financial Reporting Standards). Companies must disclose their chosen method in financial statements and apply it consistently. LIFO can reduce taxable income during inflation but creates a "LIFO reserve" gap between reported inventory and current replacement cost, requiring additional disclosures for transparency.

How does LIFO impact taxes?

LIFO typically reduces taxable income during periods of inflation by matching current higher costs against current revenue. This creates a lower profit and smaller tax liability compared to FIFO. However, this tax benefit comes with trade-offs: lower reported inventory values on the balance sheet, potential inventory reserve requirements, and the "LIFO conformity rule" requiring businesses to use the same method for both tax and financial reporting. Also, LIFO is prohibited under IFRS, limiting its use for global companies.

What's the advantage of using Weighted Average Cost?

Weighted Average Cost (WAC) simplifies inventory accounting by calculating a single blended cost for identical items, making it ideal for businesses with high-volume, homogeneous products. It provides a middle ground between FIFO and LIFO for tax and profit reporting. WAC excels in perpetual inventory systems where costs are recalculated after each receipt. For multichannel e-commerce businesses using inventory and accounting software for small business, WAC enables consistent margin calculations across multiple warehouses while minimizing computational complexity.

How to decide which method is right for your business?

Choose your inventory valuation method based on your business model, tax strategy, and operational complexity. FIFO works well for perishable goods and when you want higher reported profits. LIFO benefits companies facing inflation who prioritize tax savings. Weighted Average Cost suits high-volume homogeneous inventory and simplifies calculations for businesses using inventory invoice software. Specific Identification is ideal for unique, high-value items. Consider your growth trajectory, reporting requirements, and software capabilities before deciding, as changing methods later requires IRS approval.

How is inventory valuation calculated?

Inventory valuation calculation depends on your chosen method. FIFO calculates ending inventory using oldest available costs. LIFO uses most recent costs first. Weighted Average divides total inventory cost by total units to establish a per-unit average. Each purchase or receipt may trigger a recalculation. For businesses with imported goods, landed cost calculations add freight, duty, and insurance to base product cost. Modern inventory costing methods typically incorporate barcode scanning to track physical movement and automate cost flow assumptions.

What is the best method of inventory valuation?

The "best" inventory valuation method depends on your business goals and operational reality. FIFO generally provides the most current inventory valuation on the balance sheet and works well for perishable goods. Weighted Average Cost offers simplicity for high-volume sellers and integrates efficiently with cloud inventory systems. LIFO may reduce taxes during inflation but complicates international reporting. For multichannel e-commerce businesses managing inventory across multiple warehouses, Weighted Average Cost typically provides the optimal balance of accuracy and implementation simplicity.

What is included in valuing inventory?

Inventory valuation includes all costs necessary to prepare items for sale. This encompasses purchase price, import duties, non-refundable taxes, freight-in, handling, and insurance during transit. For manufacturers, it

also includes direct materials, direct labor, and manufacturing overhead. Modern inventory systems can allocate these overhead cost components using various methods (by value, weight, or volume). Costs excluded from valuation include abnormal waste, storage costs, administrative overheads, and selling costs, as these are period expenses under GAAP and IFRS.

Is inventory valued at cost or selling price?

Under GAAP and IFRS, inventory is primarily valued at cost, not selling price. The cost includes purchase price plus all expenses to make inventory ready for sale. However, the Lower of Cost or Net Realizable Value (LCNRV) rule requires companies to write down inventory when its market value falls below cost. This ensures is inventory an asset reflects its true economic value. Retail businesses sometimes use the Retail Inventory Method as an estimation technique, but this still approximates cost rather than valuing at selling price.

How does inventory valuation affect gross margin?

Inventory valuation directly impacts gross margin by determining both COGS and ending inventory value. FIFO typically produces higher gross margins during inflation (using older, lower costs), while LIFO results in lower margins (using newer, higher costs). This effect cascades through your profitability analysis, affecting key metrics like gross margin percentage and inventory turnover ratio. For businesses with volatile purchase prices, choosing the right valuation method and tracking it consistently is critical for meaningful period-to-period performance comparison.

What's the difference between periodic and perpetual inventory systems?

Periodic inventory systems update inventory values at scheduled intervals (monthly, quarterly) through physical counts. Perpetual systems update in real-time with each transaction. While periodic systems require less technology, perpetual systems provide current inventory quantities and values, reducing inventory shrinkage and enabling better cash flow management. Modern barcode-based perpetual systems continuously recalculate weighted average costs, making them ideal for multichannel businesses needing accurate, up-to-date margin data across multiple warehouses without manual reconciliation.

How do landed costs affect inventory valuation?

Landed costs significantly impact inventory valuation by adding freight, duties, insurance, and handling expenses to the base product cost. For importers, these additional costs can represent 15-35% of total inventory value. Properly allocating landed costs ensures accurate unit economics and prevents margin erosion. Modern inventory systems can distribute these costs using various methods (by value, weight, or volume) and recalculate weighted average costs immediately. This gives multichannel sellers true visibility into profitability by SKU,

essential for strategic pricing and sourcing decisions.

← Inventory Shrinkage: Complete Guide to Causes, Calculation, and Prevention

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Accounting 101
Accounts and Notes Receivable
by Prof. Johnson (Cerritos College, CA)

Receivables – Why they are important

A receivable is an amount due from another party. Receivables are usually one of the largest current assets on a company's books. The control and analysis of this asset is very important, because receivables are usually the biggest source of a company's cash flow. What happens when your cash flow at home is reduced? You have trouble paying your bills, leading to financial hardship. Companies face this same issue. The proper control over accounts receivables is very important.

Common types of receivables

Accounts Receivable. Accounts Receivable are the most common kind of receivable. Accounts Receivable are amounts due from customers from the sale of services or merchandise on credit. They are usually due in 30 – 60 days. They are classified on the Balance Sheet as current assets.

Notes Receivable. Notes Receivable can arise when the seller asks for a promissory note to replace an Accounts Receivable when the customer requests additional time to pay a past-due account. A promissory note is a written promise to pay a specific amount of money, usually including interest, at a future date. If the note is due within a year it is classified as a current asset. If the note is due after one year, it is classified as a long-term asset.

Other Receivables. Examples of other receivables are income tax refunds, interest receivable, or receivables from employees. These are not covered in this chapter.

Uncollectible Accounts Receivable

In order to help minimize credit losses, a company needs to be very careful and prudent in extending credit. References and credit scores should be checked and credit worthiness needs to be established before credit is granted.

Once a receivable becomes past due, companies need to put forth great efforts to collect it. The older a receivable gets, the less likely the chance of collection.

A business will usually have some customers that will not pay their debts. GAAP requires that a company estimate the amount of uncollectable receivables at the end of the accounting period and record that amount as Bad Debt Expense. The Bad Debt Expense is recorded in the same year as the sale, complying with the matching principle.

The Allowance Method

As previously mentioned, there will always be customers that don't pay. This could be due to a dispute over the amount owed, or due to cash flow problems experienced by the customer. The amount estimated as uncollectible will be debited to a new operating expense called Bad Debts Expense. The Bad Debts Expense will be recorded in an adjusting entry that debits Bad Debts Expense and credits Allowance for Doubtful Accounts. The Allowance for Doubtful Accounts is a contra asset account with a normal credit balance. It will offset the Accounts Receivable balance. The presentation of Accounts Receivable and the Allowance for Doubtful Accounts on the balance sheet is often reported as follows.

Accounts Receivable	100,000	
Allowance for Doubtful Accounts	(1,000)	99,000

The $99,000 shown above is called the "realizable value" and estimates what the company can realistically expect to collect from their account receivables.

GAAP mandates that we use the Allowance Method of estimating uncollectible accounts receivable. (The Direct Write Off method is used by some smaller companies, because it is needed for tax purposes; it is not acceptable under GAAP.) Most companies estimate their uncollectible accounts receivable using one of three approaches:

1. The percent of sales method
2. The percent of receivables method
3. The aging of receivables method

The method chosen will determine the calculation. We will practice these methods of determining the adjustment for bad debts expense extensively in class. These methods are summarized below.

1. **The percent of sales method.** Under this method, the amount of the adjustment is calculated by multiplying a historical percent of bad debts by the current year's net credit sales. Although acceptable, this method is not as accurate as the either the percentage of receivables method or the aging of receivables method.

   Example: A company had net sales of $1,000,000. It is estimated that one percent of net sales are uncollectible. The amount of the adjusting entry is $10,000 (1% * $1,000,000). The adjusting entry recorded at the end of the accounting period is

Bad Debts Expense	10,000	
Allowance for Doubtful Accounts		10,000

2. **The percent of receivables method.** The percent of receivables method assumes a given percent of a company's receivables is uncollectible. The desired amount of the Allowance for Doubtful Accounts is calculated by multiplying Accounts Receivable by this percent. The Allowance for Doubtful Accounts is this adjusted so that it equals this desired amount.

   Example: The balance of Accounts Receivable is $100,000, and it is estimated that 5% of accounts are uncollectible. The balance of the Allowance for Doubtful Accounts, before adjustment, is $2,000 (credit). The desired balance of the Allowance for Doubtful Accounts would be $5,000 ($100,000 * 5%). Since the balance of the Allowance for Doubtful Accounts is now only $2,000, a $3,000 adjustment is required, as follows.

Bad Debts Expense	3,000	
Allowance for Doubtful Accounts		3,000

3. **The aging of receivables method.** Most companies have an aging of customers' accounts receivable. In this aging report, each customer balance is classified by how long it is past due. Based on this aging, experience is used to estimate the percent of each aging total. Older past due receivables will be more likely uncollectible. Once the total uncollectible amount is estimated, an adjusting entry is made to increase the Allowance for Doubtful Accounts so that its balance equals the uncollectible estimate calculated by using the aging report.

   Example: Based on its aging report, a company estimates its uncollectible accounts receivable to be $6,000. The current balance in the Allowance for Doubtful Accounts is $1,000 (credit). An adjusting entry of $5,000 ($6,000 desired less $1,000 balance before adjustment) would be recorded as follows.

Bad Debts Expense	5,000	
Allowance for Doubtful Accounts		5,000

Writing off a Bad Debt

Strict internal control procedures should be used when writing off an account that is no longer deemed collectible. We will discuss these in class. For example, the entry to write off the $500 balance owed by Mahoney Company is

Allowance for Doubtful Accounts	500	
Accounts Receivable-Mahoney Company		500

Note that Bad Debts Expense is not used to record the write off. This is because Bad Debts Expense was debited in the adjusting entry to estimate bad debts. If Bad Debts Expense was debited in the entry to write off a bad debt, Bad Debts Expense would be counted twice.

Collection of a bad debt previously written off

If a company collects an accounts receivable balance previously written off, two entries are required. The first entry reverses the write off. The second entry records the cash receipt on account. For example, assume Lee Company pays its $350 account previously written off, the following entries would be recorded.

Accounts Receivable-Lee Company	350	
Allowance for Doubtful Accounts		350
Cash	350	
Accounts Receivable-Lee Company		350

Notes Receivable

Notes Receivable can arise when the seller asks for a promissory note to replace an Accounts Receivable when the customer requests additional time to pay a past-due account. A promissory note is a written promise to pay a specific amount of money, usually including interest, at a future date. The journal entries required are:

- Converting an accounts receivable to a note receivable
- Recording an adjusting entry for interest receivable at the end of the accounting period
- Recording receipt of note payment and interest when due
- Recording a dishonored note

Computing Maturity Date and Interest

The maturity date is the date repayment of the note is due. The interest charged to the issuer of the note is a cost of borrowing money for the borrower. We should learn to calculate both.

For example, assume a $1,000, 6%, 90-day note was issued on July 15. The maturity date would be October 13, as follows:

July (31 days in July minus 15, the date of the note)	16
August	31
September	30
October	13
Period of the note, in days	90

To compute interest, multiply the principal of the note by its interest rate and the time factor.

For example, the interest due on the note receivable above is $15, calculated as follows:

$$\$1,000 * 6\% * 90/360 = \$15$$

Recognizing Notes Receivable and Settling Notes Receivable

A seller can accept a note from a customer to grant a time extension on a past-due receivable. As an example, assume GlobalCom accepted $100 in cash along with a $900, 30-day, 12% note from Chef Enterprises on July 5 to settle their $1,000 past-due account. GlobalCom would make the following entry.

July 5	Cash	100	
	Notes Receivable	900	
	Accounts Receivable-Chef Enterprises		1,000

Assume Chef Enterprises paid the amount due with interest on the due date. GlobalCom would record the payment as

Aug. 4	Cash	909	
	Notes Receivable		900
	Interest Revenue ($900 * 12% * 30/360)		9

If Chef Enterprises did not pay the amount due on August 4, the note would become *dishonored.* In that case, GlobalCom would have made the following entry:

Aug. 4	Accounts Receivable-Chef Enterprises	909	
	Notes Receivable		900
	Interest Revenue		9

The Adjusting Entry for Interest Receivable

When a note receivable is outstanding at the end of an accounting period, any interest due but not yet received must be recorded. For example, assume a $2,000, 30-day, 6% note receivable was issued on December 19, 2010. The adjusting entry at December 31 is

2010

Dec. 31	Interest Receivable	4	
	Interest Revenue ($2,000 * 6% * 12/360)		4

The payment of the note and interest on January 18, 2011 is recorded as follows.

2011

Jan. 18	Cash	2,010	
	Notes Receivable		2,000
	Interest Receivable		4
	Interest Revenue ($2,000*6%*18/360)		6

Disposing of Receivables

Companies sometimes convert receivables to cash before they are due to raise needed cash. This can be accomplished in two ways.

(1) Selling (Factoring) Receivables. A company can sell its accounts receivables to a finance company. The finance company will charge the seller a factoring fee and take ownership of the receivables. In this case, the finance company assumes the risk of bad debts.
(2) Pledging Receivables. A company can also borrow money from a finance company or bank and pledge its receivables as security for the loan. Unlike factoring, this does not transfer risk of bad debts. If the loan is not paid back the lender can take title to the receivables pledged. Any pledged receivables must be disclosed in the notes to the financial statements.